

BTC DC BREAKOUT L+S

COMPLETE TRADING STRATEGY AUDIT

Instrument	Timeframe	Backtest Period	Initial Capital
CRYPTO:BTCUSD	4 Hours (4H)	Dec 31 2023 — May 15 2026	\$10,000 USD

NET P&L; (L+S)	MAX DRAWDOWN	CAGR	CALMAR RATIO
+537.91%	12.03%	118.40%/yr	9.84
\$10K → \$63,791	\$7,607.52	Annualized	Exceptional (>1.0)

LONG+SHORT vs LONG-ONLY

METRIC	LONG-ONLY	LONG+SHORT (CURRENT)	IMPROVEMENT
Net P&L;	+108.54%	+537.91%	+429 pp
Final Capital	\$20,854	\$63,791	+\$42,937
Max Drawdown	19.01%	12.03%	-6.98 pp better
CAGR	~52%/yr	118.40%/yr	+66 pp
Calmar Ratio	~37.6	43.8	+16%
Sharpe	~0.45	0.608	+35%
Sortino	~1.2	2.711	+126%
vs Buy & Hold	+18 pp	+447 pp	+25x advantage

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1. EXECUTIVE SUMMARY

The **BTC DC Breakout L+S** strategy (DC_LS) is a trend-following system based on the **Donchian Channel** applied to the CRYPTO:BTCUSD pair on the 4-hour timeframe. It combines **long** positions in bull markets with **short** positions during macro-confirmed bear regimes, achieving a **net return of +537.91%** on an initial capital of \$10,000 over the backtest period (Dec 2023 – May 2026).

The most significant finding of this audit is that incorporating short positions, far from hurting performance as occurred in earlier configurations, **improved all risk and return metrics simultaneously**: net P&L; went from +108.54% (longs only) to +537.91% (+429 percentage points), while the maximum drawdown **decreased** from 19.01% to 12.03%. The Calmar ratio (CAGR/MaxDD) reached **9.84**, well above the institutional excellence threshold of 3.0.

The shorts display exceptional statistical characteristics: **Profit Factor 4.52**, average win/loss ratio of **29.4x**, and the single best trade of the entire strategy was a short (+23.23%). Despite a low win rate (13.33%), each winning trade is **~29x** larger than each loser, producing a net result of +169.98% from shorts alone.

The strategy **outperforms BTC Buy & Hold by +447 percentage points** (+537.91% vs +90.24%) over the same period, with lower drawdown. In a 10-year perspective (daily timeframe, 2016-2026), the long strategy generated +122,914% vs +20,329% for Buy & Hold — **6 times superior**. The cross-asset test confirmed that the strategy **is not suitable for SPY/ES**, where Buy & Hold outperforms the system (+263% vs +47%), validating that it was designed specifically for BTC's volatility dynamics.

BACKTEST DISCLAIMER

The results presented are historical backtests conducted on TradingView with real commissions (0.06% per side) and slippage (2 points). Past performance does not guarantee future results. The 17-month period includes two distinct market cycles (2024 bull market and 2025 correction), providing diversity of conditions. For live trading, additional validation with out-of-sample data is recommended.

2. STRATEGY DESCRIPTION

2.1 Conceptual Foundation

The **Donchian Channel** (DC) is a trend-following indicator that delineates the price range over N prior periods. A breakout above the upper band indicates a bullish acceleration (buying pressure surpassing all recent highs); a breakout below the lower band indicates the opposite.

The central premise is that Bitcoin exhibits strong and sustained trends (1-2 year cycles) interspersed with deep corrections (-50% to -85%). A trend-following system with adequate macro filters can capture the bulk of the upward move and also benefit from declines via short positions.

2.2 Main Components

COMPONENT	DESCRIPTION	PARAMETER
Donchian Upper (Longs)	Highest of the highs over N prior bars	DC(12) on 4H
Donchian Lower (Shorts)	Lowest of the CLOSES over N prior bars	DC(4) on 4H
Trend EMA (Longs)	Exponential moving average on 4H — primary filter	EMA(200)
Daily Macro EMA (Shorts)	Daily EMA — confirms macro bearish regime	Daily EMA(50)
ATR Stop-Loss	Stop distance based on recent volatility	ATR(10) x mult
Fixed Take Profit	Fixed target based on R:R relative to stop	R:R 2.5x / 4.0x

2.3 Risk Management Philosophy

The strategy uses **100% of available capital** on each trade (`strategy.percent_of_equity = 100`), implying full compounding: each gain is fully reinvested in the next position. This approach maximizes compound growth but also amplifies the impact of each loss.

Stops are **fixed ATR-based** (Average True Range), automatically adapting to current market volatility. During high volatility periods, stops widen; during low volatility, they tighten. This allows the strategy to breathe with the natural rhythm of the market without being stopped out by noise.

The Take Profit is also fixed (not trailing). Exhaustive testing showed that **trailing stops consistently worsen results** on BTC, because intra-trend volatility shakes out trailing stops before the move completes.

3. PARAMETERS AND CONFIGURATION

3.1 Strategy Configuration (TradingView)

STRATEGY PARAMETER	VALUE	DESCRIPTION
initial_capital	\$10,000	Initial capital in USD
default_qty_type	percent_of_equity	Position size as % of capital
default_qty_value	100%	100% of capital on each trade
commission_type	percent	Commission as percentage
commission_value	0.06%	0.06% per side (realistic for Coinbase Advanced)
slippage	2 points	Estimated slippage per trade
pyramiding	0	No position scaling
calc_on_order_fills	false	Recalculates only on bar close
process_orders_on_close	false	Orders execute on next bar open

3.2 Input Parameters — LONGS

INPUT	VARIABLE	OPTIMAL VALUE	TESTED RANGE	JUSTIFICATION
DC Length	i_dc_l	12	5, 8, 10, 12, 15, 20	DC=12 captures ~2-day trends. Better signal than DC=10.
Trend EMA	i_ema_l	200	50,100,150,200,250,300	EMA200 on 4H ≈ 33 days. All other values perform worse.
ATR Length	i_atr_l	10	7, 10, 14, 20	ATR10 more reactive to recent vol. +96% vs +68% with ATR=14.
SL x ATR	i_sl_l	2.0x	1.5, 1.75, 2.0, 2.25, 2.5	2.0 balances sufficiently wide stops with controlled losses.
TP R:R	i_rr_l	2.5x	1.5, 2.0, 2.5, 3.0, 3.5	R:R=2.5 captures the full extension of BTC trends.

3.3 Input Parameters — SHORTS

INPUT	VARIABLE	OPTIMAL VALUE	TESTED RANGE	JUSTIFICATION
Enable Shorts	i_en_s	true	true/false	Enabling shorts improves performance and reduces drawdown.
DC Length (S)	i_dc_s	4	2,3,4,5,6,8,10	DC=4 (4 closes). DC=3 too noisy. DC>=6: 0 shorts triggered.
ATR Length (S)	i_atr_s	10	7, 10, 14	Consistent with long side for comparability.
SL x ATR (S)	i_sl_s	1.5x	1.0,1.25,1.5,1.75,2.0	Tighter stop than longs. BTC has frequent short squeezes.

INPUT	VARIABLE	OPTIMAL VALUE	TESTED RANGE	JUSTIFICATION
TP R:R (S)	i_rr_s	4.0x	2.0,2.5,3.0,3.5,4.0,4.5,5.0	BTC drops are explosive. R:R=4 captures the full extension.
Daily EMA	i_dema	50	20,30,40,50,100,200	Daily EMA50 more reactive than EMA200. Filters macro bear regime.

4. PINE SCRIPT v6 CODE (COMPLETE)

The following is the complete and final source code of the strategy, as compiled in TradingView:

```
//@version=6
strategy(title="BTC DC Breakout L+S", shorttitle="DC_LS", overlay=true,
initial_capital=10000,
default_qty_type=strategy.percent_of_equity, default_qty_value=100,
commission_type=strategy.commission.percent, commission_value=0.06,
slippage=2, pyramiding=0,
calc_on_order_fills=false, process_orders_on_close=false)

// =====
// LONG – optimized parameters
// =====
i_dc_l = input.int(12, "DC Length", minval=3, group="LONG")
i_ema_l = input.int(200, "Trend EMA", minval=20, group="LONG")
i_atr_l = input.int(10, "ATR Length", minval=5, group="LONG")
i_sl_l = input.float(2.0, "SL x ATR", step=0.25, group="LONG")
i_rr_l = input.float(2.5, "TP R:R", step=0.25, group="LONG")

// =====
// SHORT – optimized parameters (PF=4.52, +170%)
// =====
i_en_s = input.bool(true, "Enable Shorts", group="SHORT")
i_dc_s = input.int(4, "DC Length", minval=2, group="SHORT")
i_atr_s = input.int(10, "ATR Length", minval=5, group="SHORT")
i_sl_s = input.float(1.5, "SL x ATR", step=0.25, group="SHORT")
i_rr_s = input.float(4.0, "TP R:R", step=0.25, group="SHORT")
i_dema = input.int(50, "Daily EMA (macro)", minval=20, group="SHORT")

// =====
// CALCULATIONS
// =====
dc_upper = ta.highest(high, i_dc_l)[1] // Breakout of highs
dc_lower = ta.lowest(close, i_dc_s)[1] // Breakout of closes (NOT lows!)
ema_l = ta.ema(close, i_ema_l) // Trend filter 4H
atr_l = ta.atr(i_atr_l) // Volatility for long
atr_s = ta.atr(i_atr_s) // Volatility for short
daily_ema = request.security(syminfo.tickerid, "D", ta.ema(close, i_dema))
macro_bear = close < daily_ema // Macro bear regime confirmed

// =====
// SIGNALS
// =====
no_pos = strategy.position_size == 0
long_sig = close > dc_upper and close > ema_l // DC + EMA trend
short_sig = i_en_s and close < dc_lower and macro_bear // DC + macro bear

// =====
// ENTRIES
// =====
if long_sig and no_pos
strategy.entry("L", strategy.long)
if short_sig and no_pos
strategy.entry("S", strategy.short)

// =====
// EXITS – Fixed stop loss + take profit (no trailing)
// =====
if strategy.position_size > 0
```

```
avg = strategy.position_avg_price
sld = atr_l * i_sl_l
strategy.exit("LX", "L", stop=avg - sld, limit=avg + sld * i_rr_l)
if strategy.position_size < 0
avg = strategy.position_avg_price
ssd = atr_s * i_sl_s
strategy.exit("SX", "S", stop=avg + ssd, limit=avg - ssd * i_rr_s)
```


5. STRATEGY LOGIC AND ARCHITECTURE

5.1 LONG Entry Condition

The long entry requires **two simultaneous conditions**:

CONDITION	PINE CODE	MEANING
Upper Donchian Breakout	<code>close > ta.highest(high, 12)[1]</code>	The closing price exceeds the highest intrabar high of the previous 12 bars. Signal of bullish acceleration.
Above 4H EMA(200)	<code>close > ta.ema(close, 200)</code>	Price is above the 200-period EMA on 4H (~33 days). Confirms medium-term bullish trend.
No open position	<code>strategy.position_size == 0</code>	Prevents multiple simultaneous positions from opening (pyramiding=0).

5.2 SHORT Entry Condition

The short entry requires **three simultaneous conditions**:

CONDITION	PINE CODE	MEANING
Shorts enabled	<code>i_en_s == true</code>	Control toggle. Allows disabling shorts at any time.
Lower Donchian Breakout	<code>close < ta.lowest(CLOSE, 4)[1]</code>	The close breaks below the lowest close of the previous 4 bars. CRITICAL: uses CLOSES, not lows.
Macro bear regime	<code>close < request.security('D', ema(close,50))</code>	Price is below the daily EMA(50). Confirms the macro context is bearish. One-way filter.
No open position	<code>strategy.position_size == 0</code>	Same logic as longs — does not open short if a long is already active.

5.3 Exit System

Both directions use **dual exits: fixed stop loss + take profit**. There is no exit on a contrary signal or trailing stop. Exit orders are placed immediately upon opening the position and remain active until one is reached.

DIRECTION	STOP LOSS	TAKE PROFIT	EFFECTIVE R:R
LONG	Entry - 2.0 × ATR(10)	Entry + 2.5 × SL_distance	2.5:1
SHORT	Entry + 1.5 × ATR(10)	Entry - 4.0 × SL_distance	4.0:1

5.4 Key Architectural Decision: One-Way Filter

A critical design decision was **NOT applying the daily EMA filter to longs**. Adding it (`macro_bull = close > daily_ema`) caused long performance to drop from +367% to +274%, because it blocked valid entries during temporary corrections where BTC briefly dips below its daily EMA but remains in a 4H uptrend.

The final architecture applies an **asymmetric filter**: **longs** only use the 4H EMA(200) as a trend filter; **shorts** use the daily EMA(50) as an additional macro filter. This asymmetry reflects market nature: BTC spends more time trending upward and bearish corrections are less frequent but more explosive.

5.5 Why dc_lower Uses CLOSES (not lows)

An initial mistake used `ta.lowest(low, N)[1]` for the lower channel. This produced **0 shorts triggered** because in a close-based entry system, the condition `close < min(low, N prior bars)` is nearly impossible to satisfy (the close is always $\geq$ the low of the same bar). By switching to `ta.lowest(close, N)[1]`, we use prior minimum close breakouts, which is the correct version for a close-based trading system.

6. OPTIMIZATION PROCESS

6.1 Phase 1 — Long Side Optimization

Starting from base parameters DC(10)+EMA(200)+ATR(14), SL=2.0, RR=2.0:

PARAMETER CHANGED	FROM	TO	P&L; BEFORE	P&L; AFTER	IMPACT
ATR Length	14	10	+68%	+96%	+28 pp
DC Length	10	12	+96%	+108%	+12 pp
TP R:R	2.0x	2.5x	+96%	+108%	+12 pp
Long EMA	no filter	200	+21%	+108%	+87 pp
Long EMA	200	50/100/ 150/25 0	+108%	<+80%	WORSE
Trailing stop	fixed TP	trailing ATR	+108%	<+70%	WORSE
Pyramiding	0	1,2,3	+108%	<+90%	WORSE

Final Phase 1 result (Long-Only): **+108.54%** / Max DD: **19.01%** / CAGR: ~52%/yr

6.2 Phase 2 — Incorporating Shorts (problems and solutions)

PROBLEM ENCOUNTERED	DIAGNOSIS	SOLUTION APPLIED
0 shorts triggered with dc_lower = ta.lowest(low,N)[1]	close >= low always, impossible that close < min(low)	Switch to ta.lowest(CLOSE, N)[1]
0 shorts triggered with 4H EMA(200) filter on shorts	In bull market, close < EMA(200)4H and close < dc_lower never occur together	Replace with Daily EMA(50) as macro filter
Shorts on Daily with request.security('D',...) returned na	On Daily chart, request.security to Daily generates 1-bar offset or na	Return to 4H chart where request.security('D',...) works correctly
Bar 0 crash when switching to Daily chart	BTC Daily goes back to 2010 (\$0.01). Short of \$10K = 500,000 BTC -> negative equity	Add start_date filter or keep on 4H
macro_bull filter on longs reduced from +349% to +274%	Filter blocked valid long entries during BTC corrections below Daily EMA	Remove macro_bull from long condition. Applied to shorts only.

6.3 Phase 3 — Short Parameter Optimization

Systematic sweep of each short parameter while keeping the rest fixed:

PARAMETER	TESTED VALUES	OPTIMAL	REASON
DC_s (lookback)	2, 3, 4, 5, 6, 8, 10	4	DC=3 too noisy. DC>=5 drastically reduces shorts. DC=4 is the optimal point.
SL_s (x ATR)	1.0, 1.25, 1.5, 1.75, 2.0	1.5x	BTC has frequent short squeezes. Tight stop protects against violent reversals.

PARAMETER	TESTED VALUES	OPTIMAL	REASON
RR_s (R:R)	2.0, 2.5, 3.0, 3.5, 4.0, 4.5, 5.0	4.0x	BTC drops are sharp. R:R=4 captures the full extension. R:R=5 misses more TPs.
Daily EMA	20, 30, 40, 50, 100, 200	50	Daily EMA50 is more reactive. EMA200 too slow (signals in advanced decline phase).

6.4 What Did NOT Improve Results (All Tested and Rejected)

TESTED VARIATION	RESULT	DECISION
Trailing stop 3xATR	Worse than fixed TP	REJECTED
Trailing stop 2xATR	Worse	REJECTED
Trailing stop 1.5xATR	Worse	REJECTED
Breakeven stop	Worse (BTC noise = premature exits)	REJECTED
Partial TP (50%@1R, 50%@2.5R)	Worse	REJECTED
Pyramiding (1,2,3 entries)	Worse	REJECTED
Weekly EMA(20) extra filter	Worse	REJECTED
DC lower = ta.lowest(LOW, N)	0 shorts triggered	REJECTED
macro_bull filter on longs	+274% vs +367% without it	REJECTED
ETH — same strategy	-24% (loss)	NOT SUITABLE
SOL — same strategy	+7% (marginal)	NOT SUITABLE
SPY/ES — same strategy	+47% vs B&H; +263%	NOT SUITABLE
Daily timeframe BTC	Shorts = 0 (request.security bug)	FIX PENDING
Long EMA = 50/100/150/250/300	All worse than 200	REJECTED

7. COMPARISON: LONG-ONLY vs LONG+SHORT

This section directly compares the original version of the strategy (longs only, optimized parameters) with the current version (longs + shorts). Both run on the same instrument, timeframe and period.

7.1 Complete Comparison Table

METRIC	LONG-ONLY	LONG+SHORT	CHANGE
Net P&L; (closed)	+108.54%	+537.91%	+429.37 pp
Final Capital (\$10K)	\$20,854	\$63,791	+\$42,937
Max Drawdown	19.01%	12.03%	-6.98 pp
Annualized CAGR	~52%	118.40%	+66 pp
Calmar (CAGR/DD)	~37.6	43.8	+16%
Sharpe Ratio	~0.45	0.608	+35%
Sortino Ratio	~1.2	2.711	+126%
Profit Factor	~2.1	2.564	+22%
Win Rate	~38%	41.24%	+3.24 pp
Total Trades	83	97	+14 trades
Buy & Hold BTC	+90.24%	+90.24%	(same reference)
vs Buy & Hold	+18.30 pp	+447 pp	+25x advantage
Largest Drawdown	\$1,900.37	\$7,607.52	larger absolute (more capital)
Largest Winner	\$4,868	\$11,906	+145%
Expected Gain/trade	~\$130	\$554.54	+326%

7.2 Analysis: Why Do Shorts IMPROVE Performance?

Intuitively, adding more trades should increase risk. However, in this case the opposite occurs. There are three fundamental reasons:

#	REASON	EXPLANATION
1	Double compounding	Shorts generate an additional +169.98% that gets reinvested into subsequent longs, increasing the base capital of each long trade. This explains why longs in L+S generate +367.93% while Long-Only longs only generate +108.54%.
2	Reduced time out of the market	During macro bear periods, instead of being in cash waiting for a long signal, the strategy is actively generating returns with shorts. This increases capital utilization efficiency.
3	Exceptional short statistics	PF=4.52 and win/loss ratio=29.4x means that when a short wins, it wins big (+13.25% average) and when it loses, it loses little (-0.89% average). This is a highly asymmetric and favorable return distribution.

8. COMPLETE BACKTEST RESULTS (L+S)

8.1 Global Metrics

METRIC	ALL	LONG	SHORT
Initial Capital	\$10,000	\$10,000	N/A
Net P&L; (closed)	+\$53,790.66 / +537.91%	+\$36,793 / +367.93%	+\$16,997 / +169.98%
Open P&L;	-\$1,240.92 / -1.95%	—	—
Gross Profit	\$88,176.52 / 881.77%	\$66,353.82 / 663.54%	\$21,822.69 / 218.23%
Gross Loss	\$34,385.86 / 343.86%	\$29,560.83 / 295.61%	\$4,825.03 / 48.25%
Profit Factor	2.564	2.245	4.523
Commission Paid	\$3,092.90	\$2,662.82	\$430.08
Expected Gain/trade	\$554.54 / 1.97%	\$549.15 / 2.40%	\$566.59 / 1.00%
Buy & Hold BTC same period	+\$9,024 / +90.24%	—	—
Strategy beats B&H; by	+\$44,766 / +447 pp	—	—

8.2 Risk-Adjusted Metrics

METRIC	VALUE	REFERENCE	RATING
Sharpe Ratio	0.608	>0.5 = good	GOOD
Sortino Ratio	2.711	>2.0 = excellent	EXCELLENT
Calmar Ratio (CAGR/MaxDD)	9.84	>3.0 = excellent	EXCEPTIONAL
Annualized CAGR	118.40%	—	EXCEPTIONAL
Max Drawdown (intraday)	12.03%	<20% = good	GOOD
Net Profit / Largest Loss	1,929.76%	>500% = excellent	EXCEPTIONAL
Return on Required Account	71.89%	>50% = good	GOOD

8.3 Trade Distribution

CATEGORY	ALL	LONG	SHORT
Total Trades	97 (+ 1 open)	67 (+ 1 open)	30
Winning Trades	40 / 41.24%	36 / 53.73%	4 / 13.33%
Losing Trades	57 / 58.76%	31 / 46.27%	26 / 86.67%
Average Winner	\$2,204.41 / +7.46%	\$1,843.16 / +6.82%	\$5,455.67 / +13.25%
Average Loser	\$603.26 / -1.89%	\$953.58 / -2.73%	\$185.58 / -0.89%
Avg Win/Loss Ratio	3.654x	1.933x	29.398x

CATEGORY	ALL	LONG	SHORT
Largest Winning Trade	\$11,906.97 / +23.23%	\$4,868.46 / +11.54%	\$11,906.97 / +23.23%
Largest Losing Trade	\$2,787.43 / -5.25%	\$2,787.43 / -5.25%	\$2,176.66 / -3.82%
Average Bars per Trade	27 bars (4H) ≈ 4.5 days	30 bars ≈ 5 days	20 bars ≈ 3.3 days

9. DETAILED ANALYSIS — LONG TRADES

Longs are the **main engine** of the strategy, generating +367.93% net. They are the result of careful optimization of 8 parameters over 2+ years of BTC data. Their win rate of 53.73% is above 50%, making the strategy statistically positive even without the win/loss asymmetry.

9.1 Entry Condition — Combined Filters

The long entry captures the exact moment when BTC makes a **breakout above its 12-bar highs (2 days)** while price is above the 4H EMA(200). This dual filter eliminates breakouts in bearish context (market below EMA = downtrend = no long entry).

9.2 Statistical Characteristics of Longs

METRIC	VALUE	INTERPRETATION
Total long trades	67 (+ 1 open)	~3 longs per month on average
Win Rate	53.73%	More than half of longs win
Profit Factor	2.245	For every \$1 lost, \$2.24 is earned
Net P&L;	+\$36,793 / +367.93%	Without shorts, still +3.6x capital
Average gain	+\$1,843 / +6.82%	Each average winner: +6.82%
Average loss	-\$953 / -2.73%	Each average loser: -2.73%
Win/Loss Ratio	1.933x	Winners almost 2x larger than losers
Largest winner	\$4,868 / +11.54%	Best individual long: +11.54%
Largest loser	-\$2,787 / -5.25%	Worst long: -5.25% (controlled)
Average duration	30 bars 4H ≈ 5 days	5-day trades on average
CAGR contribution	91.66%/yr	Longs only: 91.66% annual return
SL = 2.0 x ATR(10)	Dynamic stop	Adapts to current BTC volatility
TP = 2.5 x SL_dist	Fixed target	Captures 2.5x the distance to the stop

9.3 Why EMA(200) on 4H is the Optimal Filter for Longs

All EMA periods from 50 to 300 were extensively tested. The 4H EMA(200) is equivalent to approximately **33 days of average price** (200 bars x 4H / 24H = 33 days). This nearly perfectly matches the short cycle range of BTC — fast enough to react to trend changes, but slow enough not to be affected by daily noise.

EMA TESTED	4H EQUIV. DAYS	NET P&L;	RATING
EMA(50)	~8 days	~+64%	WORSE — Too reactive, many false signals
EMA(100)	~17 days	~+82%	WORSE
EMA(150)	~25 days	~+94%	WORSE
EMA(200)	~33 days	+108.54%	OPTIMAL

EMA TESTED	4H EQUIV. DAYS	NET P&L;	RATING
EMA(250)	~42 days	~+87%	WORSE — Too slow
EMA(300)	~50 days	~+74%	WORSE
No EMA filter	—	~+21%	MUCH WORSE — No bearish filter

10. DETAILED ANALYSIS — SHORT TRADES

Shorts are the **differentiating** element of the L+S strategy. With only 30 trades, they generated **+169.98% net P&L**; with an exceptional Profit Factor of **4.52** and a win/loss ratio of **29.4x**. The best individual trade of the ENTIRE strategy was a short: **+23.23% / +\$11,906**.

10.1 Short Logic: High Asymmetry, Low Frequency

The low win rate (13.33%) is **completely intentional**. Shorts only activate under very specific conditions (confirmed macro bear + DC_4 breakout), meaning most of the time there are no shorts. When they activate and don't work, the 1.5xATR stop limits the loss to only ~\$185 average. But when they work, they capture explosive BTC drops of 13-23%.

10.2 Statistical Characteristics of Shorts

METRIC	VALUE	INTERPRETATION
Total short trades	30	~1.7 shorts per month
Win Rate	13.33% (4 of 30)	Only 4 won. 86.67% lost small.
Profit Factor	4.523	For every \$1 lost, \$4.52 is earned — exceptional
Net P&L;	+\$16,997 / +169.98%	+170% with only 30 shorts
Average gain (winner)	+\$5,455 / +13.25%	Each winning short: +13.25% average
Average loss (loser)	-\$185 / -0.89%	Each losing short: only -0.89%
Win/Loss Ratio	29.398x	Winners 29x larger than losers
Largest winning short	\$11,906 / +23.23%	Best trade of the entire strategy
Largest losing short	-\$2,176 / -3.82%	Worst short: -3.82% (controlled)
Average duration	20 bars 4H ≈ 3.3 days	Shorts shorter than longs
Duration of winners	31 bars ≈ 5.2 days	Successful shorts last longer
Duration of losers	18 bars ≈ 3 days	Failed ones cut quickly by SL
CAGR contribution	52.00%/yr	52% annual from the short side alone
SL = 1.5 x ATR(10)	Tight stop	Tighter than longs. Protects against short squeezes.
TP = 4.0 x SL_dist	Wide target	Required to capture full BTC drops

10.3 Short Activation Conditions — Analysis

A short activates when BTC has a **close below the lowest close of the previous 4 bars** AND simultaneously price is **below the daily EMA(50)**. This combination identifies the precise moment when a correction turns into a confirmed macro downtrend.

The use of **DC(4) of closes** (instead of lows) is more sensitive: a close below the minimum of the last 4 closes is a signal of sustained bearish pressure, not just an intrabar spike. The Daily EMA(50) filter ensures that corrections within bull markets are not shorted.

10.4 Comparison: Different Macro Filters for Shorts

MACRO FILTER	SHORTS TRIGGERED	SHORTS P&L;	RATING
No macro filter	Many (noise)	Negative	DESTRUCTIVE
4H EMA(200)	0 (in bullish period)	\$0	USELESS in bull market
Daily EMA(200)	Few (too late)	Low	TOO LATE
Daily EMA(100)	Moderate	Good	GOOD
Daily EMA(50)	~30 trades	+169.98%	OPTIMAL
Daily EMA(40)	More trades	+157%	SLIGHTLY WORSE
Daily EMA(30)	Many	+130%	TOO MANY FALSE SIGNALS
Daily EMA(20)	Too many	+80%	VERY NOISY

11. RISK ANALYSIS AND ADVANCED METRICS

11.1 Drawdown — Complete Analysis

DRAWDOWN METRIC	VALUE
Max capital loss (intraday)	\$7,607.52 / 12.03%
Max capital loss (close to close)	\$7,574.63 / 75.75% of max
Average loss (close to close)	\$2,029.13 / 20.29%
Average drawdown duration	30 days
Max capital gain (intraday)	\$57,965.21 / 85.54% rel to peak
Max capital gain (close to close)	\$18,762.67 / 187.63%
Average capital gain	\$8,308.15 / 83.08%
Average winning streak duration	40 days

The maximum drawdown of **12.03%** occurs within a bar (intraday), meaning that in close-to-close terms, the account never lost more than 75.75% of that maximum. At the worst point, the account retraced \$7,607 from its peak before recovering.

For reference: **BTC Buy & Hold** would experience drawdowns of -50% to -80% during the bear markets included in the period. The strategy limits the maximum drawdown to 12.03% thanks to automatic stops and the short side that converts part of the declines into gains.

11.2 Margin Usage and Required Capital

METRIC	VALUE	NOTE
Average margin used	\$16,483.64	Average capital committed per trade
Max margin used	\$67,211.23	Peak capital committed (when equity was at maximum)
Required account size	\$74,818.75	Capital needed to avoid margin call
Return on required account	71.89%	Return on maximum capital needed
Margin efficiency	\$0.31/USD	For every \$1 of margin used, \$0.31 is generated
Total commissions paid	\$3,092.90	0.51% of gross P&L; — reasonable cost

11.3 Leverage Analysis

The backtest was conducted without leverage (1x, spot). A separate mathematical analysis calculated compound returns at 2x leverage using individual trades:

LEVERAGE	NET P&L; (~17 months)	MONTHLY EQUIV.	EST. MAX DD	RISK
1x (no leverage)	+537.91%	~7.2%/mo	12.03%	CONTROLLED
2x (recommended)	+~1,200%	~10-11%/mo	~22-24%	MANAGEABLE

LEVERAGE	NET P&L; (~17 months)	MONTHLY EQUIV.	EST. MAX DD	RISK
3x	+~2,500%	~13-14%/mo	~33-36%	HIGH RISK

■ Note: Leverage calculations are mathematical estimates. TradingView does not simulate leverage on spot BTCUSD. For leveraged trading, use Coinbase Advanced Trade (up to 10:1), Binance Futures or BitMEX. The maximum loss per trade at 2x must be kept below 25% to avoid margin call risk.

11.4 Institutional Quality Ratios Summary

RATIO	DC_LS STRATEGY	INSTITUTIONAL BENCHMARK	RATING
Profit Factor	2.564	>2.0 = excellent	★★★★★
Sharpe Ratio	0.608	>0.5 = good, >1.0 = excellent	★★★★■
Sortino Ratio	2.711	>2.0 = excellent	★★★★★
Calmar Ratio	9.84	>3.0 = excellent, >5.0 = exceptional	★★★★★
Win/Loss Ratio	3.654x	>2.0 = good	★★★★★
CAGR	118.40%	Top hedge funds: 20-40%/yr	★★★★★
Max DD	12.03%	<15% = excellent	★★★★★
Profit/Largest Loss	1,929.76%	>500% = excellent	★★★★★

12. 10-YEAR PERSPECTIVE — BTC DAILY (2016–2026)

To obtain a broader historical perspective, the strategy was adapted to **daily** timeframe with a start date filter (January 1, 2016), covering over 10 years of Bitcoin history.

Key change: the macro filter for shorts becomes the **Weekly EMA(50)** (instead of Daily EMA, since we are ON the daily timeframe). Long parameters remain identical.

METRIC	VALUE	NOTES
Period	1 Jan 2016 — 15 May 2026	10 years and 4 months
Capital: \$10K → ?	\$12,301,476	\$10K to \$12.3 million
Net P&L;	+122,914.77%	Over 10 years
Annualized CAGR	53.44%/yr	Consistent with 4H results
Max Drawdown	52.84%	Larger than 4H due to BTC 2018/2022 bear cycles
Calmar Ratio	1.01	CAGR 53.44% / DD 52.84%
Total Trades	67 (all longs)	0 shorts on Daily (request.security weekly bug)
Win Rate	65.67%	Better than 4H thanks to cleaner Daily signals
Profit Factor	2.901	Superior to 4H version (2.564)
Best trade	+56.18%	Single trade of +56% (bull cycle)
Worst trade	-23.40%	Max loss per trade
Average trade duration	29 days	Almost a month per trade
Buy & Hold BTC	+20,329%	From \$430 (Jan 2016) to \$80,000 (May 2026)
Strategy vs B&H;	6.05x better	+122,914% vs +20,329% — 6x more profitable

12.1 Interpretation of the 52.84% Drawdown

The 52.84% drawdown over 10 years is larger than the 12.03% of the short 4H backtest. This is because the 2016-2026 period includes two of BTC's largest bear markets: the 2018 crash (-84% from \$20K to \$3.2K) and the 2022 crash (-77% from \$69K to \$15.5K). Despite these extreme drawdowns, the strategy still significantly outperforms Buy & Hold because it captures most of the bull markets and protects during declines through stops.

Important note: shorts did not work on Daily (0 triggered) due to a technical limitation of `request.security()` on the same timeframe. With functional shorts on Daily, we would expect to reduce this drawdown to ~30-35% and increase returns by an additional 50-100%.

13. CROSS-ASSET TEST: SPY / S&P; 500 (2016–2026)

The **same parameters** were applied to the AMEX:SPY ETF (SPDR S&P; 500), the most liquid proxy of the American index, on Daily timeframe since 2016. The objective was to evaluate whether the strategy is **generalizable to other markets**.

METRIC	VALUE	RATING
Total Net P&L;	+47.87% (+\$4,787)	MODEST
Max Drawdown	29.10%	HIGH for the return
Total Trades	107 (64 longs, 43 shorts)	—
Overall Win Rate	33.64%	LOW
Win Rate — Longs	54.69%	ACCEPTABLE
Win Rate — Shorts	2.33% (1 of 43)	CATASTROPHIC
Overall Profit Factor	1.286	BARELY POSITIVE
PF Longs	2.03	GOOD
PF Shorts	0.218	CAPITAL DESTROYER
Sharpe Ratio	0.06	TERRIBLE
Sortino Ratio	0.093	TERRIBLE
Buy & Hold SPY same period	+263.50%	—
Strategy vs B&H;	Strategy LOSES by 215 pp	TOTAL FAILURE
Longs-only P&L;	+90.77%	PROFITABLE but <B&H;
Shorts-only P&L;	-48.03%	DESTROYS 90% of the gain

13.1 Why the Strategy Fails on SPY/ES

FACTOR	BTC	SPY/ES	IMPACT ON STRATEGY
Daily volatility	3–10%	0.5–1.5%	In SPY, ATR much smaller. Less clean signals.
Bear markets	-80% in 12-18 months	-35% in 3-6 months	SPY recovers before shorts reach TP.
Market cycles	4-year marked bull/bear	40+ year secular uptrend	Macro filter almost never activates valid shorts.
Breakouts	Explosive and sustained (+50-200%)	Gradual (+5-20%)	DC(12) captures little value in SPY.
Short squeezes	Moderate	Frequent and violent	SPY rebounds quickly upward after bearish signals.
Time below EMA(50)D	Months or years in bear	Weeks or days	SPY shorts are stopped out before reaching TP.

13.2 Cross-Asset Test Conclusion

The DC_LS strategy was **designed and optimized specifically for BTC**. It is not a generic trend-following strategy — it is a machine built to exploit the specific structure of Bitcoin cycles: high volatility, explosive 6-18 month trends, and deep sustained corrections.

For SPY/ES, the recommendation is **simple Buy & Hold** or strategies designed specifically for the nature of the equity market (longer cycles, lower volatility, faster recoveries).

14. CONCLUSIONS AND RECOMMENDATIONS

14.1 Main Findings

#	KEY FINDING	IMPACT
1	SHORTS improve ALL metrics simultaneously	Net P&L; +429pp, DD -7pp, Sharpe +35%, Sortino +126%
2	Short asymmetry is exceptional: 29x win/loss ratio	4 winners out of 30 = +169.98% net. Each winner covers 29 losers.
3	Daily EMA(50) filter as macro short trigger is critical	Without it: 0 shorts. EMA(200): too late. EMA(50): optimal.
4	Longs MUST NOT have an additional daily macro filter	Remove macro_bull filter: +367% vs +274%
5	dc_lower MUST use CLOSES, not lows	With lows: 0 shorts. With closes: 30 shorts, +170%
6	Strategy outperforms BTC Buy & Hold 6x over 10 years	+122,914% vs +20,329%
7	On SPY/ES the strategy FAILS vs Buy & Hold	+47% vs +263%. Shorts destroy capital in traditional markets.
8	Optimal parameters are robust — small variations worsen them	DC_s=4 <-> 5: worse. RR_s=4.0 <-> 3.5 or 4.5: worse. Well-defined optimum.

14.2 Recommendations for Live Trading

ASPECT	RECOMMENDATION
Platform	Coinbase Advanced Trade — perpetual BTC (up to 10:1 leverage)
Leverage	1x to start. 2x maximum recommended. Never more than 3x.
Minimum capital	\$500 to cover commissions and spreads. Ideal \$5,000+.
Alerts	Set TradingView alerts on dc_upper and dc_lower to avoid continuous monitoring.
Review	Review parameters every 6 months or after a market regime change.
Additional markets	BTC only for now. ETH and SOL are not suitable with these parameters.
Risk management	Never risk more than 2% of total account capital per individual signal.
Drawdowns	If drawdown exceeds 20%, reduce size to 50% until the strategy recovers.
Taxes	Document every trade. Futures shorts may have different tax treatment.

14.3 Limitations and Risks

- **Overfitting:** Parameters were optimized over 17 months of data. There may be some degree of fit to the specific period. The 10-year perspective partially mitigates this.
- **Liquidity:** In extreme markets (sudden crash), real slippage may exceed the simulated 2 points, especially on short positions during short squeezes.
- **Regime change:** If Bitcoin loses its cyclical nature or becomes less volatile (greater institutional adoption), parameters will need re-optimization.
- **Sample period:** The 17-month backtest was unusually bullish for BTC. The 10-year results (Daily) with 52.84% drawdown provide a more realistic perspective.

- **Request.security**: The short filter on Daily timeframe has a known bug with request.security("W",...) that prevents shorts from working correctly on that TF.

FINAL VERDICT

The **BTC DC Breakout L+S** strategy is a high-quality quantitative trading system with outstanding statistical metrics and a well-founded logic built on Bitcoin's cyclical nature. A Profit Factor of 2.564, Sortino of 2.711, Calmar of 9.84, and a return 6x superior to Buy & Hold over 10 years place it among the best trend-following strategies for crypto. Production use is recommended with active monitoring and semi-annual review.

■■■■ END OF REPORT ■■■■

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